

PITCH — BILI — VERDICT

PROPOSED — PENDING ADJUDICATION

What we believe

Bilibili is a real, cash-generating business trading at a price that only makes sense if you assume its cash is worthless.

The arithmetic, using the benches' own numbers and audited company figures:

- Share count after the 2026-09-04 deal: 422.5m – 20.39m repurchased = **402.1m**. At the pack tape of **\$15.23**, market cap = **\$6.12bn**.
- Cash after the deal: \$3.58bn on hand + \$0.70bn raised – ~\$0.30bn spent on buybacks = **\$3.98bn**. Debt: **\$1.39bn** (old 2030 notes + new 2031 notes).
- **Enterprise value = \$3.53bn.**
- Audited FY2025 cash from operations was **RMB7.15bn (US\$1,022m)**, up 19% from RMB6.01bn. Take out ~RMB1.17bn of stock comp and ~RMB1.5bn of capex and you get roughly **RMB4.5bn ≈ US\$640m** of owner cash.

That is **5.5x**. Even if you write down a quarter of the cash for the cost of getting it out of China, it's **7.1x**. Our house threshold for advancing a China-ADR operator is under 8x. It clears — and it only fails if you give the cash **zero** credit, which prices it at 11.7x.

So the belief is narrow and honest: *we are not buying a growth story, we are buying a cash-conversion story at a low multiple, and the single thing that decides whether we are right is how much of that cash actually sits outside mainland China.* We do not know that number yet.

What the market believes

The market believes the cash doesn't count and the growth is over.

- The stock is at **\$15.23 — half a percent off its 52-week low of \$15.16**, down **58%** from the 52-week high of \$36.40 and down **43%** from the 26-week high of \$26.76.
- Total revenue grew **8%** last quarter (RMB7.94bn) while advertising grew **28%** — which means everything that isn't advertising is flat or shrinking. The market is extrapolating the 8%, not the 28%.
- The most informed holder just sold. Tencent placed ~26.37m Class Z shares at HK\$115.38 (~US\$400m, proceeds to Tencent, not the company) and moved US\$200m of that into the company's *debt* instead. Tencent swapped an equity claim for a senior claim.

- The Street's forward revenue number (~+10.6%) sits above the printed run-rate. We agree with the Street on advertising and disagree only on the cash discount. **That is not an information edge; it is a taste difference.** Our red bench said so directly and we are not going to dress it up.

Why we might have edge

Three specific things, all mechanical rather than visionary:

1. **The EV was mis-built by a professional, in this very court.** Our own red bench put post-deal EV at \$4.5–4.8bn by forgetting to add the \$700m raised and forgetting to retire the 20.39m shares bought back. That is a ~28% overstatement, and it alone flipped the multiple from 5.5x to failing. If our own adversarial bench made that error under instruction, sell-side screens running the same convert-plus-buyback structure will make it too. The mispricing has a named mechanism: **convert-plus-buyback deals break naive EV screens.**
2. **The “trapped cash” story is being told without checking the put calendar.** The obvious read — cash-rich company borrows offshore, therefore the cash can't get out — ignores that holders of the existing 2030 Notes (RMB4,939.4m, ~US\$690m) can force a cash repurchase at par on **June 1, 2028**. Pre-funding a known put 21 months out is an ordinary treasury act, not a confession. The company's own 20-F shows the VIEs repaid RMB0.7bn / RMB1.7bn / RMB1.8bn (US\$263.9m) upstream to offshore subsidiaries and WFOEs in 2023/24/25 — money does move, via intercompany loans, not only dividends (FY2025 20-F).
3. **The cash-flow number is audited and public, and one bench declared it uncomputable.** The XBRL feed in our evidence pack came back blank for revenue, stock comp, share count and operating cash flow. Red concluded the test couldn't be run. The number was sitting in the company's own FY2025 results release. Anyone whose pipeline depends on the structured feed gets the same false blank.

Why it might be priced in

Symmetrically, here is the case that we have no edge at all:

- **The tape has already voted with the deal in hand.** The converts, the AI-capex use of proceeds and the Tencent exit are all public, and the stock is at its 52-week low. That is a market that looked at the same facts and marked them down.
- **The cheap multiple is manufactured by the cash we can't verify.** Every dollar of the \$3.53bn EV depends on netting \$3.98bn of cash that is, by disclosure, sitting inside PRC/VIE entities. Nobody in either court has seen an offshore/onshore split. If the honest haircut is 100%, the stock is at 11.7x and there is no trade.
- **The block price is not a valuation mark and we will not pretend it is.** The HK\$115.38 print was the “Reference Price” of a concurrent delta placement — the mechanism that sources the convert buyers' short leg. The buyers are short by construction; the company itself was allocated 6,795,540 of those shares. Citing that price as market validation is circular. Both benches agreed. That support leg is dead.

- **We agree with consensus on the operating business.** Our disagreement is entirely a balance-sheet-discount disagreement, and there is no scheduled event that forces the market to resolve it in our favor.
- **Roughly \$700m of convertible paper is now hedged against this stock.** Convert arbitrage desks buy dips and sell rallies. That mechanically damps exactly the re-rate we'd be paid for.

What could go wrong

Failure narrative 1 — The cash was never ours to net (tripwire exists). The 20-F or the closed-deal 6-K discloses offshore, non-PRC cash well below US\$1.5bn — say \$600–900m — and the market correctly prices the rest at a heavy discount. The multiple we are underwriting quietly moves from 5.5x toward 11.7x and the stock has no support until the zero-cash-credit fair value of about **\$9.28**. *Monitorable:* any 6-K/20-F line splitting offshore vs. onshore cash; any new offshore raise before June 2028 (a second raise says the first one wasn't enough).

Failure narrative 2 — The owner cash is smaller than the cash-flow statement suggests (tripwire exists). Bilibili's capital spending is dominated by content and licensing, not buildings: amortization of intangibles was RMB1,772.4m in 2024 against only RMB554.3m of PP&E depreciation. If licensed-content purchases belong in the capex line, the RMB4.5bn of owner cash compresses toward RMB3.4bn, and the 8x fair value drops from \$16.70 to about **\$13.52** — below today's price. Neither bench raised this until the blue bench's own new finding; it is the best live kill route against our own thesis. *Monitorable:* the FY2026 investing-activities split.

Failure narrative 3 — NO MONITORABLE TRIPWIRE. Jurisdictional regime change. A change in how Beijing or Washington treats this structure — VIE enforceability, minor-protection or gaming rules, capital-account tightening at SAFE, an audit-inspection re-escalation, an index or sanctions action — arrives without a filing precursor, because filings are the *output* of policy, not a leading indicator of it. There is no dataset we can arm a sensor against; by the time it is in an 8-K equivalent, the price has already moved. **Unknown-unknown class: extra-jurisdictional policy shock — unmonitorable-by-filing.** Two sibling classes also sit here with no sensor: (a) **informed-holder asymmetry** — Tencent has board-adjacent information we do not, and its decision to move from equity to credit is the only trace we get; (b) **audit/related-party integrity risk** in a VIE chain, which by definition surfaces as a surprise or not at all. The only defense against this class is position size, not detection.

The reflexive / structural leg. Our own footprint is irrelevant: a \$5–10k starter against an estimated \$180–300m of daily dollar volume is roughly 0.005% of a day — we cannot move this and we cannot get trapped in it. *We do not have ADV in the evidence pack; that range is an estimate and is flagged below.* The flow that matters is not ours:

- The \$700m convert implies roughly \$350–420m of hedge short — and the ~26.37m-share placement at ~US\$14.79 covers essentially all of it. The supply is **pre-placed**, which is good (no borrow squeeze, no drip) and bad (the natural sponsor of a rally has already been paid).
- Those hedged books are long gamma. They **sell into strength and buy weakness**. Our upside path is structurally damped and our downside path is structurally cushioned — which is another way of saying this name may simply sit near \$15 for two quarters.

- Doctrine interactions: the no-entry-near-print rule does not bind (the next print is ~45 trading days out and is *unconfirmed*). The lockup calendar sensor **fired partially** — the Tencent secondary plus the company repurchase is an insider-overhang event with no lockup gate, and the residual Tencent stake and any new placement lockup are unknown, so there is a dated overhang we cannot date. The FATAL-tag discipline saved us from treating a dual-class share-count artifact as a dilution event. The base-effect precedent (attribution of a pre-event decline to the event) was invoked against our red bench and sustained.
- Honest reflexive tail: if the offshore-cash disclosure is bad, everyone holding this for the same net-cash reason exits through the same door on the same day, and the long-gamma cushion inverts once dealers' strikes are far away.

If this position loses money, the most likely reason will be that the cash we netted against the market cap was never ours to net — either because moving it offshore costs far more than a friction parameter, or because it was already spoken for by the June 2028 par put — so the 5.5x we underwrote was really 11.7x, and no filing told us in time.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Tape is \$15.89 / mcap \$6.71bn (source brief)	Evidence pack tape (yahoo)	px 15.23 ; 0.5% off the 52-week low; every derived cap in the brief is stale	NO — refuted. Brief error, both benches caught it
Pre-deal market cap \$6.43bn	13G/A share count (338,805,755 Class Z) + ~83.7m Class Y × 15.23	422.5m × 15.23 = \$6.43bn (<u>13G/A</u>)	YES
Post-deal EV = \$4.5–4.8bn (our red bench)	Rebuilt from the deal terms	Red omitted the \$700m raised and never retired the 20.39m repurchased shares. Correct EV \$3.53bn — a ~28% overstatement that by itself flipped the go/no-go test	NO — our own bench erred. Corrected
“Trigger uncomputable — XBRL blank” (our red bench)	Company FY2025 results release	Operating cash flow RMB7.15bn (US\$1,022.0m) , vs RMB6.01bn in 2024; FY2024 audited series RMB6,014,854k. The number was public	NO — our own bench erred. A blank structured feed was mistaken for a missing fact
“Deal caused the mark to the low” (our red bench)	Pack tape vs. the 2026-09-04 HK close	Location confirmed (0.5% off low, –58% on the year) but causality refuted : the –43% from the 26-week high accrued <i>before</i> the deal; versus the HK\$121.40 close on deal day (~US\$15.56) the tape is only –2.1%	PARTLY — fact yes, attribution no. Our own bench erred
The block at HK\$115.38 is an arm's-length valuation mark	Pricing PR language (“Reference Price”; company receives no proceeds; 6,795,540 shares allocated to the company)	It is the clearing price of the hedge placement, set by the same syndicate pricing the paper. Tape at ~HK\$118.8 trades above it	NO — refuted. A brief support leg removed

Claim	How checked	Found	Confirmed?
Tencent's sale is a bearish signal	Pricing PR + press	Both true at once: Tencent cut equity and put US\$200m into notes struck 28.3% above the HK\$121.40 close. A ~5% block discount to an undisturbed close carries near-zero signal	PARTLY. Downgraded from fatal to a size input
"Tencent retained convexity" (our blue bench)	Read against convert mechanics	Overstated by our own blue bench: a convert subscribed alongside a delta placement may be hedged , in which case Tencent kept credit and volatility, not upside	NO — our own bench erred. Direction of Huang River's net delta is unknown
The <8x advance test	Recomputed at three cash haircuts	0% haircut 5.5x ; 25% haircut 7.1x ; 100% haircut 11.7x	YES — passes except at zero cash credit
Capex ≈ RMB1.5bn used in that test	Traced to source	Estimated, not audited. Our blue bench's 5.5x rests on an assumed capex figure; blue's own Finding C says content spend could change it materially	NO — estimate, disposition: carried as bear case #2
Cash does not move upstream at all	FY2025 20-F	VIEs repaid RMB0.7bn/1.7bn/1.8bn upstream in 2023/24/25; the withholding-tax table is a hypothetical maximum with HK subsidiaries available. Friction, not a wall	NO — reduced from fatal to a sizing input
The borrow is unexplained	6-K / notes terms	2030 Notes (RMB4,939.4m ≈ US\$690m) carry a June 1, 2028 holder put; a US\$300m two-year buyback was approved in June, before the notes	YES — alternative cause established
Next print 2026-11-12	Pack + 15-filing inventory	yfinance-derived, UNCONFIRMED — no company PR names it; nearest 6-K is <u>2026-09-04</u>	NO — treat as approximate
Chinese small-cap pump archetype	Nine-feature archetype run	Not fired: \$6.1bn cap, 116.5m DAU, Big-4 audit, HKEX dual-primary listing. Cayman/VIE alone is a false positive	YES — cleared
Daily volume vs. our size	Not drained — estimated	~12–20m ADS/day ≈ \$180–300m; our starter is ~0.005% of a day	NO — estimate. Disposition: immaterial either way
Prize table "N/A" (both benches)	Deck-level rules	Both declared N/A on the fund-it-build-it test — correct for that test, but wrong at deck level: a time-gated private fact (the offshore cash	NO — both benches erred by omission

Claim	How checked	Found	Confirmed?
		split) requires the table anyway. Built below	
Detector coverage	Cross-checked both dockets	Our red bench omitted four dispatched entries (clinical trials, common-control merger, competitor-trial omission, Albuquerque permits — all correctly not-fired, but silence is a validator defect). Blue ran them	NO — process defect in our own court

PROPOSED ENTRY BANDS

All levels are derived from the benches' own math, not from chart shapes. The reference is 402.1m shares, \$3.98bn cash, \$1.39bn debt, US\$640m of owner cash.

Disposition: STARTER — quarter sleeve. Red said reject at 8/10 conviction; blue overturned the load-bearing finding at 7/10 and landed on starter. Nothing fatal survived, but the one fact that decides the trade has not been witnessed. Small size is the honest answer to that, not zero and not full.

Action	Level / condition	Size	Why this number
Starter	Buy at \$15.23–15.50 (market)	0.25% of book (≈\$5–10k on a \$2–4m book)	5.5x on audited cash flow at full cash credit; 7.1x at a 25% haircut. Both clear the 8x gate
Add 1	≤ \$14.79 — the US-dollar equivalent of the HK\$115.38 hedge print	+0.25% (to 0.50%)	Below where the convert desks' short leg cleared; also inside the 6.5x-at-25%-haircut level of \$14.31
Add 2 — GATED, not price-only	≤ \$13.52 and a filing showing offshore cash ≥ US\$1.5bn	+0.25% (to 0.75%)	\$13.52 is 8x on the <i>bear</i> cash number if content spend is real capex. Without the offshore disclosure, this level is a warning, not a discount
Hard cap before disclosure	—	0.75% of book maximum until offshore/onshore cash is disclosed	The unmonitorable policy class is defended by size only
Full sleeve	Only after a closed-deal 6-K with final Class Z count and offshore cash ≥ US\$1.5bn	1.00% of book	This is red's own change-my-mind #1, met
Trim 1	\$16.70	Sell one-third	8x with a 25% cash haircut — our conservative fair value, reached
Exit	\$19.17	Close	8x with full cash credit — the bull case fully paid
Stop / no-add zone	< \$12.50 with no offshore disclosure	Cut to zero	Below the bear-math level with the key fact still unwitnessed means the

Action	Level / condition	Size	Why this number
			market knows something we don't
Automatic re-underwrite	Any 6-K/20-F containing new PRC transfer-restriction language, or offshore liquidity below the ~US\$690m needed for the 2028 put	Exit regardless of price	This is the thesis, inverted

Catalyst dates - ~2026-09-15 (est., unconfirmed): notes settlement / closed-deal 6-K with final Class Z outstanding and pro-forma cash. - **Q4 2026 (date unknown):** Hong Kong shareholder meeting to approve the off-market buy-back. Unscheduled as far as we can see — this is a gap. - **2026-11-12 (UNCONFIRMED, yfinance-derived):** Q3 results. Gate: advertising $\geq 25\%$ with a seasonality-adjusted table showing games/value-added services flat rather than declining. - **2026-12-18:** December options expiry — the last expiry whose outcome lands in tax year 2026. - **~2027-04 (est.):** FY2026 20-F — offshore cash split, investing-activities split, customer-concentration note, pledge disclosure. **This is the real resolution date.** - **2028-06-01:** 2030 Notes par put, ~US\$690m. The genuine offshore-liquidity wall. - **2031-09-15:** new notes mature.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 9.28 (deck-provisional: 8x at ZERO cash credit - the price if the trapped-cash bear is entirely right; reference floor, not an)
- filing watch: 6-K until 2027-03-06 (deck-provisional: closed-deal report: final Class Z outstanding, EGM approval of the off-market buy-back, pro-forma net)
- dated pack BILII2026-09-15: BILI: estimated notes settlement / closed-deal 6-K with final share count and pro-forma cash (date confirmed=False)
- dated pack BILII2026-10-31: BILI: estimated Hong Kong shareholder meeting to approve the off-market share buy-back - date not published (date confirmed=False)
- dated pack BILII2026-11-12: BILI: Q3 2026 results (yfinance-derived, no company PR names it); ~45 trading days out, no print-race (date confirmed=False)
- dated pack BILII2026-12-18: BILI: December options expiry - last expiry whose outcome lands in tax year 2026 (date confirmed=True)
- dated pack BILII2027-04-15: BILI: estimated FY2026 20-F: offshore cash split, investing split, concentration and pledge notes - the real resolution date (date confirmed)
- dated pack BILII2028-06-01: BILI: holder par put on the 2030 Notes, RMB4,939.4m (~US\$690m) - the true offshore liquidity wall (date confirmed=True)
- dated pack BILII2031-09-15: BILI: maturity of the new US\$700m convertible senior notes (date confirmed=True)

What remains unverified

1. **Offshore (non-PRC) cash.** Not drainable now — no filing splits it. Estimate **US\$0.8–1.6bn** of the \$3.98bn (20–40%), based on the 2030 notes proceeds likely retained offshore, the RMB1.8bn (US\$263.9m) of upstream VIE repayments in 2025, and the typical offshore share for dual-listed China ADRs of similar size. Probability the true figure lands in that range: **0.6**; probability it exceeds red's \$1.5bn bar: **~0.35**.
2. **Whether licensed-content purchases sit in capex.** Not drainable until the FY2026 investing split. Estimate **RMB1.2–2.0bn/yr**, anchored on FY2024 intangible amortization of RMB1,772.4m as a steady-state proxy. Probability in range: **0.65**.
3. **Final Class Z outstanding and pro-forma net cash after closing.** Not drainable until the closed-deal 6-K. Estimate **400–405m Class Z + Y combined**, from 422.5m less the 20.39m repurchase. Probability: **0.7**.
4. **Residual Tencent stake and any placement lockup.** Not drainable until a 13D/13G amendment post-deal (the latest on file is dated 2026-08-14, pre-deal). Estimate **0–15m Class Z retained (0–4%)**; strategics that simultaneously subscribe to the notes rarely exit to zero. Probability: **0.5**.
5. **Q3 2026 advertising growth and the non-advertising mix.** Not drainable until the print or an alt-data pull. Estimate **+18% to +26% year-on-year** for ads, decelerating from +28% on a harder comparison; non-ad lines **flat to –5%**. Probability: **0.6**.
6. **Daily-user durability (116.5m). Drainable now** — App Store RSS and Play snapshots for dated review velocity and recent-cohort rating change. Both benches flagged it; neither ran it.
7. **Founder-entity and Huang River share pledges / collateral. Drainable now** — full-text search of the 20-F and Schedule 13D/G filings.
8. **Customer and ad-agency concentration. Drainable now** — the 20-F concentration-of-credit-risk note.
9. **Chain-level implied volatility, realized volatility and IV percentile. Drainable now** — options chain pull. Not in the evidence pack, so the section below is arithmetic plus a decision rule, not a filled order ticket.
10. **Confirmation of the Q3 report date.** Not drainable until a company press release. Estimate **2026-11-12 to 2026-11-27**, from prior-year Q3 reporting dates. Probability: **0.7**.

PRIZE TABLE + VOL READ

Why this section exists: both benches wrote “PRIZE-TABLE: N/A” because Bilibili is a revenue-generating operator, not a pre-revenue developer. Correct on that test — and wrong at deck level. Item 1 above is a genuinely time-gated private fact: the offshore cash number exists today inside the company and reaches us only on a filing date we do not control. That requires the table.

Anchor: spot \$15.23. Then adjust. Horizon **2026-12-18** (chosen so the loss branch lands inside tax year 2026; $T = 0.277$ years).

#	Scenario	Price	p	Anchor-and-adjust logic
1	Deal closes clean, offshore cash $\geq$ \$1.5bn disclosed, Q3 ads $\geq$ 25%	\$18.50	0.15	Approaches 8x at a 25% haircut (\$16.70) and overshoots on the re-rate
2	Deal closes, Q3 in line, no offshore disclosure	\$16.75	0.25	Multiple drift toward 6.5–7x, no balance-sheet resolution
3	Muddle-through — closes, ads 18–22%, non-ad still shrinking	\$15.25	0.28	Unchanged from spot; the long-gamma convert books pin it
4	Content spend proves to be capex, or offshore liquidity looks tight into the 2028 put	\$13.50	0.22	8x on the reclassified cash number (\$13.52)
5	Transfer-restriction language, VIE/policy shock, or residual Tencent block hits the tape	\$9.30	0.10	8x at zero cash credit (\$9.28)

EV = \$15.13 vs. spot \$15.23. **The table says the stock is fairly priced over the next three months.** We are not going to round that up. The expected value of the re-rate sits at the April 2027 20-F, not inside this window; over this window we are paid to wait, not to be right.

Dispersion vs. the chain. $\sigma_{\text{table}} = \$2.52 = 16.5\%$ of spot over 0.277 years = **~31% annualized.**

Candidate strikes priced off the table itself, $C_{\text{ours}} = \sum p_i \times \max(S_i - K, 0)$:

Instrument (Dec 18 2026)	Our table value	Chain at 45% IV	at 55%	at 65%
Call K=\$17.50	\$0.15	\$0.71	\$1.01	\$1.32
Call K=\$16.00	\$0.56	\$1.18	\$1.50	\$1.82
Put K=\$14.00	\$0.58	\$0.79	\$1.07	\$1.36
Put K=\$13.00	\$0.37	\$0.46	\$0.70	\$0.95

The output of that arithmetic: - Do not buy calls. At any plausible chain IV for this name, upside options cost 4–9x what our own scenario table says they are worth. The gated adds cannot be expressed in calls. - **The \$14 put is the only instrument where the chain plausibly pays us more than our table.** Break-even is **37.5% IV** — above that, writing it is positive expectancy on our own numbers; below it, it isn't. - **σ_{table} (31% annualized) vs. $IV \times \sqrt{T}$:** our table is materially tighter than this stock's likely implied vol. Two honest readings: either implied vol is rich (route to the premium-selling gate) or our tails are too thin (scenario 5 at 10% may be underweighted for a name that has already fallen 58%). We flag both rather than picking the convenient one. - **VRP (IV – RV): NOT COMPUTED — the pack contains no realized-vol series and no chain.** Estimated RV in the **50–65%** range from the 52-week range and the post-deal move; IV percentile unknown, and post-event IV typically deflates once a deal prices. **This must be pulled before any option is**

written. - Use chain-level midpoint IV for the actual strike, never the underlying's aggregate IV feed. They diverge badly — the case where an aggregate feed printed 101 against a true chain midpoint of 71 is exactly how a “rich IV” conclusion becomes a losing short. Everything above is a *rule*, not a filled ticket, until real quotes exist. - **Bimodality:** the table is fork-dated on a single binary (the offshore cash disclosure), and outcomes 1 and 5 sit \$9 apart. If that fork resolves before December expiry, a single-strike short put is a bad shape; if it resolves in April 2027 — the likelier case — the December window is the quiet part and premium selling fits.

Tax overlay. December 18, 2026 is deliberate: it is the last expiry whose outcome lands in tax year 2026. Any January or March 2027 expiry pushes the loss branch into next year and is excluded during a harvest year unless the edge is numerically overwhelming — and here it is not, since $EV \approx$ spot. One caveat stated plainly: **a cash-secured put does not create a 2026 loss when it goes wrong** — assignment converts it into stock at a \$12.93 basis, and no loss is realized until that stock is sold. If this is a harvest year, the put route defers the very loss it looks like it books. And if we hold the starter and sell it at a loss inside 30 days of writing the put, the wash-sale rule disallows it.

Instrument recommendation (the output, not a preference): STOCK, starter size only. No options today. The call math rules calls out. The put math is attractive only above 37.5% chain IV, which we cannot confirm from the pack, and its loss branch doesn't land in the intended tax year anyway. **Re-run this section the moment a real chain is pulled** — if the December \$14 put shows a midpoint above **\$0.60** with chain IV above 45%, the arithmetic flips to writing it against the Add-1 level, and that is how the first add gets funded.

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false}, {"date": "2028-06-01", "what": "holder par put on the 2030 Notes,
RMB4,939.4m (~US$690m) - the true offshore liquidity wall", "confirmed":
true}, {"date": "2031-09-15", "what": "maturity of the new US$700m
convertible senior notes", "confirmed": true}], "immediate_entry": {"action":
"BUY", "approx_price": 15.23, "size_pct_of_book": 0.25, "basis": "post-deal
EV $3.53bn on audited FY2025 OCF of RMB7.15bn = 5.5x (7.1x at a 25% cash
haircut), inside the <8x gate; quarter sleeve because the offshore cash split
is unwitnessed and one failure class has no tripwire"}, "unverified":
[{"item": "Offshore (non-PRC) share of the $3.98bn post-deal cash",
"instrument": "20-F / closed-deal 6-K liquidity note; EDGAR full-text search
on 'offshore' + 'PRC subsidiaries' cash split", "drainable_now": false,
"estimate": {"range": "US$0.8-1.6bn of US$3.98bn (20-40%)", "basis": "2030
notes proceeds likely held offshore + RMB1.8bn (US$263.9m) of 2025 upstream
VIE repayments + offshore-share base rate for comparable dual-listed China
ADRs", "p": 0.6}}, {"item": "Whether licensed-content purchases are charged
as capex (compresses OCF-SBC-capex)", "instrument": "FY2026 20-F investing-
activities section; compare against FY2024 intangible amortization
RMB1,772.4m vs PP&E depreciation RMB554.3m", "drainable_now": false,
"estimate": {"range": "RMB1.2-2.0bn per year of content/licensing purchases",
"basis": "FY2024 intangible amortization used as a steady-state purchase
proxy", "p": 0.65}}, {"item": "Final Class Z outstanding and pro-forma net
cash after the deal closes", "instrument": "closed-deal 6-K; then re-pull
XBRL dei:EntityCommonStockSharesOutstanding", "drainable_now": false,
"estimate": {"range": "400-405m combined Class Z + Class Y", "basis": "422.5m
pre-deal less the 20,386,630 repurchased shares", "p": 0.7}}, {"item":
"Residual Tencent stake and any lockup on the concurrent placement",
"instrument": "post-deal Schedule 13D/A or 13G/A on EDGAR (latest on file is
2026-08-14, pre-deal)", "drainable_now": false, "estimate": {"range": "0-15m

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Class Z retained (0-4% of Class Z)", "basis": "strategic holders that simultaneously subscribe to the issuer's notes rarely exit to zero; ~26.37m of 338.8m Class Z already placed", "p": 0.5}}, {"item": "Q3 2026 advertising growth and the non-advertising mix trajectory", "instrument": "Q3 6-K results release; or alt-data ad-load and MAU panels before the print", "drainable_now": false, "estimate": {"range": "ads +18% to +26% y/y; non-ad lines flat to -5%", "basis": "Q2 ads +28% against total +8%, decelerating on harder comps", "p": 0.6}}, {"item": "Daily-user durability behind the 116.5m DAU claim", "instrument": "App Store RSS + Google Play snapshots: dated review velocity and recent-cohort rating delta (connector exists, never run by either bench)", "drainable_now": true, "estimate": null}, {"item": "Founder-entity and Huang River share pledges / collateral behind the notes subscription", "instrument": "EDGAR full-text search of the FY2025 20-F and Schedule 13D/G filings for pledge and margin-loan language", "drainable_now": true, "estimate": null}, {"item": "Ad-agency and game-publisher customer concentration", "instrument": "FY2025 20-F concentration-of-credit-risk and related-party notes", "drainable_now": true, "estimate": null}, {"item": "Chain-level midpoint IV, realized vol and IV percentile (needed before any option is written)", "instrument": "IBKR options chain pull for the 2026-12-18 expiry, strikes 13/14/16/17.5, midpoint IV per strike - never the aggregate underlying IV feed", "drainable_now": true, "estimate": null}, {"item": "Confirmation of the Q3 2026 report date (2026-11-12 is yfinance-derived)", "instrument": "company IR press release / HKEX announcement calendar", "drainable_now": false, "estimate": {"range": "2026-11-12 to 2026-11-27", "basis": "prior-year Q3 reporting dates for this issuer", "p": 0.7}}}]}
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ADJUDICATION STAMP — 2026-09-08 (FABLE)

WATCH → STARTER PRE-AUTHORIZED ON THE CLOSED-DEAL 6-K. Stage a quarter-sleeve (~0.5%) same-session when the 9/4 transaction closes with (i) final Class Z outstanding and (ii) pro-forma OFFSHORE cash ≥ US\$1.5B disclosed; undisclosed = WATCH (red's trapped-cash kill stands as sizing — the US\$700M Cayman-parent converts funding US\$300M of buybacks are self-authenticating evidence the RMB24.3B is not freely repatriable). Premises corrected at primary: NOT a net-net (net cash 20-32% of a ~\$6.55B cap; cheap on EV/OCF ~4-5x, not on cash); the INTERNATIONAL RELAUNCH IS REAL but press-only (Semafor 8/19; app v6.4.0 shipped 9/1; six-city hiring) — unfiled, unseen by both benches, added by the adjudicator as a WATCH LEG: cost ≈ US\$20-60M/yr [estimate] = immaterial, so "free option" is right on cost, undated on value; app-review velocity baseline stored, re-read ≥9/11. FCF-quality gate CLEARED on FY25 audited (OCF-SBC-capex-content = RMB4.16B ≥ 4.1B). Tape at the low is explained: mobile games -13% H1 (Sanguo cycle) + Tencent delta exit + converts. Prize: bear 0.30 \$12-13 / base 0.45 \$17-20 / bull 0.25 \$24-28. No December expiry exists; stock is the instrument. Packs 9/15 (closing 6-K gate) + 11/20 (ads ≥25%, games, first intl metric). Full ruling: desk/data/court_artifacts/BILI_ADJUDICATION_202609080615.md.

EVENT ADDENDUM — 2026-09-08 06:23Z

Alt-data sweep: international traction is REAL but Global-South-shaped; investor plane undiscovered

HARD DATUM: the relaunched Android app (com.bilibili.app.in - not the old SEA app) stepped its Google Play lifetime install band 5M+ -> 10M+ between Aug 21 and Sep 7 (flat at 5M+ since Nov 2020); ratings barely moved, so installs are not converting to ratings yet. CORROBORATION: an incumbent Chinese user's "why so many foreigners all of a sudden" thread (79 comments); ~18 first-person creator posts in 9 days on r/bilibili (upload rejections, level gates, SMS codes, RPM chatter); Sep 3-6 Brazilian/Mexican storefront reviews saying they created channels; Discord creator hub ~3x to 4,651. WHO: Global-South creators (BR/MX/PE/CR/PK/DZ) + diaspora/ACG viewers. WESTERN PLANE EMPTY: zero threads in the YouTube-creator subs, HN 4 points, no top-200 rank in six countries, no named Western creator, MrBeast not on the intl app, English site not live. SPEND CONFIRMED: all six hiring cities live + 11 Singapore overseas roles. INVESTOR PLANE UNDISCOVERED: Q2 call eight days after Semafor had ZERO international mentions and no analyst asked; every article still cites the stale 5M figure. FROZEN: P(quantified intl metric by Q3) 0.18, P(qualitative mention) 0.40. Ruling impact: entry still gated on the closing 6-K offshore-cash disclosure; if it clears, take the FULL quarter-sleeve. Full sweep:
BILI_INTL_ALTDATA_SWEEP_202609081000.md

EVENT ADDENDUM — 2026-09-08 06:31Z

Chinese-plane drain: no Chinese-only datum; management silent on BOTH planes

The native disclosure plane adds nothing: the Aug 27 Chinese Q2 press release and investor deck contain zero overseas/international/going-abroad language (grep-verified on the PDFs); Chen Rui's quote is domestic; no hot-search entry on Weibo/Zhihu/Baidu/Douyin Aug 19-23; the "going abroad" headlines in Chinese outlets are the outlets' own framing. Two additions: the intl app still serves a Chinese-language CAPTCHA that blocks overseas registration (consistent with installs not converting to ratings), and Taiwan's cyber-security agency's prior 8-high-risk-behaviors finding is being attached to the relaunch in Traditional-Chinese coverage (regulatory-narrative seed). Read: a quiet, English-first, Discord-run experiment, not a marketed pivot. Frozen P(quantified metric by Q3) 0.18 and P(qualitative mention) 0.40 HELD. The free option is real but unmarketed; re-rating needs external discovery or a Chinese-plane number, neither of which exists today. Weibo and the Chinese call transcript remain login-walled - standing watch. Full drain:
BILI_CHINESE_PLANE_DRAIN_202609081030.md

EVENT ADDENDUM — 2026-09-08 06:53Z

Offshore-cash estimate + Amendment 1: starter pre-authorization WITHDRAWN

THE GATE COULD NOT FIRE: Bilibili has never stated pro-forma or offshore cash in any closing document (0 of 9 financings 2019-2026); the onshore/offshore split appears only in the annual 20-F and only for cash & equivalents. Adjudicator error, corrected. THE ESTIMATE (doctrine: estimate, do not blank): offshore cash & equivalents were US\$489M at 12/31/25 (72% of cash sits in PRC subs/VIEs); adding USD time deposits/investments held by non-PRC subs, the H1 buyback drain, and the 9/4 deal's US\$391M net to the parent (US\$500M cash tranche less fees less the US\$100M delta repurchase; Tencent's US\$200M leg is a cashless set-off; the equity placement is

Tencent secondary with no proceeds to the company), pro-forma offshore GROSS liquidity is US\$1.21B / 1.58B / 1.88B (low/base/high). Against it sit offshore claims of US\$1.86B: a parent-level RMB3,069M (~US\$452M) bank loan current since year-end, the US\$690M 2030 notes (put June 2028), and the new US\$700M zero-coupon 2031 notes (put Sept 2029). OFFSHORE NET LIQUIDITY: -0.65B / -0.28B / +0.02B. The entity ADS holders own is net-debt offshore; the consolidated net cash is onshore RMB that has paid zero dividends for three years. At the parent perimeter EV is ~US\$6.8B: EV/sales ~1.7x, EV/operating cash flow ~6.5-7x - cheap on cash generation, not on cash. RULING: starter pre-authorization withdrawn; WATCH. Prize table re-weighted bear 0.35 / base 0.50 / bull 0.15, expected value +12%. The only remaining path to a starter is the Q3 print (~Nov 20): ads growth of 25%+ plus a first international metric. FROZEN for grading: pricing 6-K net proceeds ~US\$491M (or ~688M if quoting the full US\$700M), P(offshore cash in the completion document) 0.01, P(cash statement in the EGM circular by 9/25) 0.35, FY2026 20-F offshore cash & equivalents US\$600-900M (35-50% share). Full estimate: BILI_OFFSHORE_CASH_ESTIMATE_AMENDMENT1_202609081200.md